

Edeka Nahversorgungszentrum Rostock-Dierkow

Rostock / Mecklenburg-Vorpommern | Nahversorgungszentrum

IC RECOMMENDATION

PASS

Asking Price	Equity	Loan Amount	GIY	WAULT	Vacancy
EUR 5,900,000	EUR 2,300,000	EUR 3,600,000	5.9%	7.7 yrs	8.6%

IC RECOMMENDATION RATIONALE

Deal meets institutional benchmarks. Proceed to full due diligence.

- (+) Strong WAULT of 7.7 years provides income visibility
- (!) CAUTION Anchor Concentration <= 55%: 67.9% (benchmark <= 55%)

1. TRANSACTION SUMMARY

Property Name	Edeka Nahversorgungszentrum Rostock-Dierkow
Location	Rostock / Mecklenburg-Vorpommern
Asset Type	Nahversorgungszentrum
Gross Leasable Area	2,800 m²
Asking Price	EUR 5,900,000
Equity Contributed	EUR 2,300,000
Loan Amount	EUR 3,600,000
Loan-to-Value (LTV)	61.0%
Total Acquisition Cost	EUR 6,401,500
GrEST Rate	6.0%
Notar / Broker Fees	2.5%
Interest Rate	4.10%
Amortisation Rate	2.00%
Active Leases	3
Vacant Units	1

2. KEY UNDERWRITING METRICS

LTV 61.0% Target: <= 65%	DSCR 1.37x Target: >= 1.30x	ICR 2.03x Target: >= 1.75x	GIY 5.9% Target: >= 5.5%
NIY 5.1% Target: NOI / Price	WAULT 7.7 yrs Target: >= 4 yrs	Vacancy Rate 8.6% Target: <= 10%	Anchor Conc. 67.9% Target: <= 55%
3yr Expiry Risk 0.0% Target: <= 30%	Debt Yield 8.3% Target: >= 7.5%	IRR (10yr est.) 1.7% Target: > 7% target	AfA (non-cash) EUR 88,500 Target: \$7 ESIG 2%/yr

3. RENT ROLL SCHEDULE

Unit	Tenant	Sector	Area m²	EUR/m²/mo	Annual Rent	Expiry	Rem.	A
U-01	Edeka Minden-Hannover	Food & Grocery	1,800	11.00	EUR 237,600 (68%)	Mar 2035	9.0yr	(*)
U-02	Rossmann GmbH	Health & Beauty	420	16.00	EUR 80,640 (23%)	Sep 2031	5.5yr	
U-03	Takko Fashion	Discount Fashion	340	7.80	EUR 31,824 (9%)	Mar 2029	3.0yr	
U-04	VACANT	--	240	--	--	--	--	
3 tenants		TOTAL / WTD	2,560	11.40	EUR 350,064	WAULT 7.7yr	(*) = Anch	

Vacant area: 240 m² | Vacancy: 8.6% | Total GLA: 2,800 m²

4. NOI BRIDGE / COST BREAKDOWN

NOI source: Itemised Cost Sheet

Gross Passing Rent	EUR	350,064
Property Management Fee	-EUR	5,251
Asset Management Fee	-EUR	1,750
Building Insurance	-EUR	6,160
CapEx Reserve	-EUR	12,600
Void Service Charge	-EUR	4,800
Void Insurance	-EUR	420
Letting / Leasing Commissions	-EUR	17,503
Other Non-Recoverables	-EUR	1,800
NET OPERATING INCOME (NOI)	EUR	299,780 (80.0% margin)
Annual Debt Service (interest + amortisation)	-EUR	219,600
Levered Cash Flow (pre-tax)	EUR	80,180

AfA (non-cash, §7 Abs.4 EStG): EUR 88,500/yr on building value EUR 4,425,000 (75% of price, 2% linear depreciation)

5. RISK ASSESSMENT & MITIGANTS

QA Result: 0 critical (RED) 1 caution (YELLOW) 10 passed

CAUTION FLAGS -- FURTHER DILIGENCE REQUIRED

Anchor Concentration <= 55%		Actual: 67.9% Bench: <= 55%
<i>Risk:</i>	Single anchor tenant exceeds 55% of gross rental income. Non-renewal or departure of the anchor would be catastrophic for debt service coverage.	
<i>Mitigant:</i>	Obtain a full covenant report on the anchor tenant (D&B or equivalent). Confirm lease renewal probability with a specialist letting agent. Model a vacancy scenario: NOI and DSCR assuming the anchor unit is vacant.	

METRICS PASSING IC BENCHMARKS

LTV <= 65%	61.0%	Benchmark: <= 65%
DSCR >= 1.30x	1.37x	Benchmark: >= 1.30x
ICR >= 1.75x	2.03x	Benchmark: >= 1.75x
WAULT >= 4 years	7.7 yrs	Benchmark: >= 4 yrs
Vacancy <= 10%	8.6%	Benchmark: <= 10%
3-Year Expiry Risk <= 30%	0.0%	Benchmark: <= 30%
GIY >= 5.5% (retail DE 2026)	5.93%	Benchmark: >= 5.5%
NOI > 0	EUR 299,780	Benchmark: > 0
Equity > 0	EUR 2,300,000	Benchmark: > 0
Debt Yield >= 7.5% (NOI / Loan)	8.33%	Benchmark: >= 7.5%